

Loads typically go (in part) to an advisor or broker who sells you the fund. If you're paying a load, you're paying somebody for advice. That's fine if you are getting valuable advice—but don't pay a load unless you're getting something out of it. Also, beware of “back-end” load products. Sometimes it's hard to tell that you're paying a sales charge because you don't see it up front.

Index Funds

If you don't want to spend a lot of time keeping up with the financial status of the companies you're invested in, and you don't want to pay a manager to pick stocks, a stock index mutual fund is the best choice. An index fund's objective is to match the return of a specified index by buying shares in each stock in that index.

Market Capitalization

Mutual funds are classified based on the market capitalization of the companies they invest in because cap is one of the criteria investors look at when choosing funds. A company's cap is calculated by multiplying the current stock price times the number of outstanding shares of stock. The categories are:

- Large-cap funds: Companies with market capitalization over \$5 billion.
- Mid-cap stock funds: Companies with market capitalization of \$1 to \$5 billion.
- Small-cap funds: Companies with market capitalization of \$250 million to \$1 billion.
- Micro-cap funds: Companies with market capitalization of less than \$250 million.

Experts consider the large-cap funds, such as Vanguard's 500 Index, the least volatile, and the smaller company funds the most volatile.

How to Buy Mutual Funds